

Apex Auto Insurance Company

Comprehensive Private Passenger Auto Insurance Policy

Claims Adjudication Guidelines Manual

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Document Purpose

This manual contains exactly 100 binding guidelines for claim adjudication. The AI chatbot must reference the specific guideline number(s) in every response, quote the exact text when relevant, and recommend APPROVED or REJECTED with clear reasoning based solely on these rules.

Section 1: Policy Eligibility & Coverage Confirmation (Guidelines 1–10)

Guideline 1: The policy must be active and in good standing at the exact moment of the incident. Any lapse in coverage results in automatic rejection.

Guideline 2: The driver must be a named insured or a listed permitted driver on the declarations page.

Guideline 3: The vehicle involved must match the VIN listed on the policy or qualify as a temporary substitute vehicle.

Guideline 4: All premiums must be paid in full up to the date of loss.

Guideline 5: The incident must occur within the United States or Canada.

Guideline 6: The policyholder must have a valid driver's license at the time of the incident.

Guideline 7: The claim must be filed within 72 hours of the incident unless force majeure is proven.

Guideline 8: The insured vehicle must have been used for personal (not commercial) purposes.

Guideline 9: Multiple policies covering the same vehicle require primary policy confirmation before secondary coverage.

Guideline 10: Any material misrepresentation on the original application voids coverage.

Section 2: Claim Notification & Documentation (Guidelines 11–20)

Guideline 11: A police report is mandatory for all accidents involving injury or damage over \$1,000.

Guideline 12: Photos of the damage from at least four angles must be submitted.

Guideline 13: Repair estimates must come from a licensed repair facility.

Guideline 14: Medical records and bills must be itemized and dated.

Guideline 15: Witness statements must be signed and notarized if available.

Guideline 16: The policyholder must submit a signed Proof of Loss form within 30 days.

Guideline 17: All documentation must be in English or officially translated.

Guideline 18: GPS or telematics data from the vehicle must be provided upon request.

Guideline 19: Dashcam footage, if available, must be submitted unedited.

Guideline 20: Failure to provide requested documents within 14 days results in claim suspension.

Section 3: Vehicle Damage Evaluation (Guidelines 21–30)

Guideline 21: Total loss is declared when repair cost exceeds 75% of the vehicle's actual cash value.

Guideline 22: Salvage title vehicles are not eligible for comprehensive or collision coverage.

Guideline 23: Pre-existing damage is excluded from payout.

Guideline 24: Wear and tear is never covered.

Guideline 25: Aftermarket parts are valued at used OEM equivalent.

Guideline 26: Rental car reimbursement is limited to 30 days or \$1,500 maximum.

Guideline 27: Towing is covered only up to \$150 per incident.

Guideline 28: Diminution of value claims are not covered.

Guideline 29: Paintless dent repair is preferred when structurally possible.

Guideline 30: Cosmetic damage below \$500 deductible is not payable.

Section 4: Medical & Injury Claims (Guidelines 31–40)

Guideline 31: Medical payments coverage is limited to reasonable and customary charges.

Guideline 32: Pre-existing medical conditions are excluded.

Guideline 33: Chiropractic treatment is limited to 12 visits unless pre-approved.

Guideline 34: Lost wages are payable only with employer verification and doctor's note.

Guideline 35: Permanent disability claims require independent medical examination.

Guideline 36: Psychological counseling is covered up to \$2,500 per claim.

Guideline 37: Emergency room visits are covered only if medically necessary.

Guideline 38: Physical therapy requires documented functional improvement.

Guideline 39: Prescription drugs must be FDA-approved and directly related to the accident.

Guideline 40: Claims for minor soft-tissue injuries are capped at \$5,000 unless imaging proves otherwise.

Section 5: Liability & Third-Party Claims (Guidelines 41–50)

Guideline 41: At-fault determination follows state comparative negligence laws.

Guideline 42: Third-party property damage is payable only after liability is confirmed.

Guideline 43: Bodily injury liability requires proof of injury causation.

Guideline 44: Punitive damages are never covered.

Guideline 45: Subrogation rights are enforced on all third-party recoveries.

Guideline 46: Uninsured motorist coverage applies only after primary insurance is exhausted.

Guideline 47: Hit-and-run claims require police report filed within 24 hours.

Guideline 48: Underinsured motorist claims require the at-fault driver's policy limit proof.

Guideline 49: Passenger claims are subject to the same liability limits as the driver.

Guideline 50: Legal defense costs are included within the policy limit.

Section 6: Exclusions & Automatic Rejections (Guidelines 51–60)

Guideline 51: Intentional acts or racing are excluded.

Guideline 52: Driving under the influence ($BAC \geq 0.08$) results in full denial.

Guideline 53: Off-road use is not covered.

Guideline 54: Commercial use (Uber, delivery, rideshare) without endorsement is denied.

Guideline 55: Mechanical breakdown or wear-and-tear is excluded.

Guideline 56: Flood damage without comprehensive coverage is rejected.

Guideline 57: Animal collision without comprehensive coverage is denied.

Guideline 58: Theft without anti-theft device or police report is excluded.

Guideline 59: Vandalism claims require proof of forced entry.

Guideline 60: Any claim involving fraud or misrepresentation is permanently denied.

Section 7: Fraud Detection & Investigation (Guidelines 61–70)

Guideline 61: Red flags trigger mandatory SIU (Special Investigations Unit) review.

Guideline 62: Inconsistent statements between driver and passengers lead to denial.

Guideline 63: Claims filed immediately after policy inception are flagged.

Guideline 64: Multiple claims within 12 months require extra verification.

Guideline 65: Social media evidence contradicting the claim is admissible.

Guideline 66: Staged accidents are denied and reported to authorities.

Guideline 67: Inflated repair estimates trigger independent appraisal.

Guideline 68: Late-night single-vehicle accidents are investigated for DUI.

Guideline 69: Prior insurance cancellations are a fraud indicator.

Guideline 70: Any claim with forged documents is rejected and referred to law enforcement.

Section 8: Settlement & Payment Rules (Guidelines 71–80)

Guideline 71: Approved claims are paid within 10 business days of final documentation.

Guideline 72: Deductible must be collected before any payment.

Guideline 73: Partial payments require written agreement from the insured.

Guideline 74: Salvage value is deducted in total-loss settlements.

Guideline 75: Direct repair program shops receive preferred rates.

Guideline 76: Electronic funds transfer is the default payment method.

Guideline 77: Tax on repairs is included only in approved amounts.

Guideline 78: Supplemental claims are allowed only within 180 days.

Guideline 79: Final settlement releases the company from further liability.

Guideline 80: All payments are reported to the IRS when required by law.

Section 9: Special Circumstances (Guidelines 81–90)

Guideline 81: Rideshare endorsement must be active for Uber/Lyft claims.

Guideline 82: Classic or collector cars are valued by agreed-amount endorsement only.

Guideline 83: New car replacement is available only on vehicles under 3 years old.

Guideline 84: Gap insurance pays the difference in total-loss cases.

Guideline 85: Lease/loan payoff is covered only with gap endorsement.

Guideline 86: Pet injury coverage is limited to \$1,000 per animal.

Guideline 87: Custom equipment is covered only if scheduled on the policy.

Guideline 88: Sound system upgrades over \$1,000 require separate endorsement.

Guideline 89: Winter weather claims require proof of reasonable driving.

Guideline 90: Out-of-state accidents follow the policy's home-state laws.

Section 10: Final Adjudication & Appeals (Guidelines 91–100)

Guideline 91: All decisions must cite at least one guideline number.

Guideline 92: Appeals must be filed in writing within 30 days of denial.

Guideline 93: Second-review decisions are final.

Guideline 94: Mediation is offered before arbitration.

Guideline 95: Arbitration is binding in all states where permitted.

Guideline 96: Bad-faith claims require proof of willful denial.

Guideline 97: Customer satisfaction survey is mandatory on every closed claim.

Guideline 98: All records are retained for 7 years.

Guideline 99: The AI chatbot must respond in clear, professional language.

Guideline 100: Any claim not explicitly covered by these 100 guidelines is automatically rejected.